# ALTERNATIVE INVESTMENT METHODS

## Learning Outcome

- compare direct investment, co-investment, and fund investment methods for alternative investments

Investors seeking greater diversification and higher expected returns from alternative investments must consider how best to enter into such an investment. The long-term, illiquid nature of many alternative investments along with the specialized knowledge involved in evaluating and overseeing these investments make investors more dependent on manager decisions over longer time periods. Large, sophisticated investors can address this issue by taking greater control over the investment process, while other, less sophisticated investors must outsource this process and seek to align manager incentives with investor objectives.

## Alternative Investment Methods

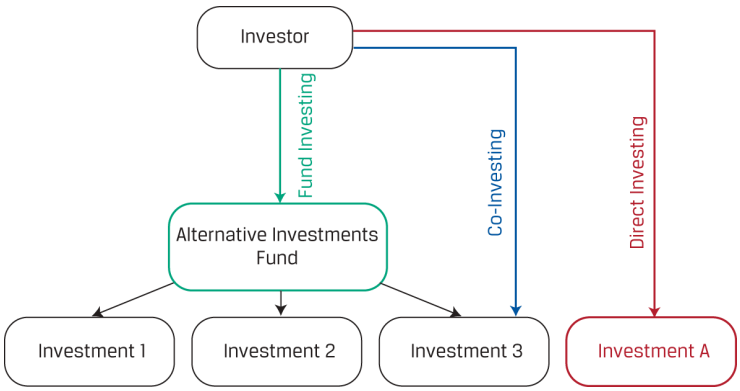
Investors can access alternative investments in three ways:

- Fund investment (such as a in a PE fund)
- Co-investment into a portfolio company of a fund
- Direct investment into a company or project (such as infrastructure or real estate)

Institutional investors typically begin investing in alternative investments via funds. Then, as they gain experience, they may begin to invest via co-investing and direct investing. The largest and most sophisticated direct investors (such as some sovereign wealth funds) compete with fund managers for access to the best investment opportunities. Exhibit 1 shows an illustration of the three methods of investing in alternative investments. We will refer to this exhibit several times during this lesson.

**Exhibit 1:**

**Three Methods of Investing in Alternative Assets**




## Fund Investment

Investors with limited resources and/or experience generally enter into alternative investments through **fund investing**, where the investor contributes capital to a fund and the fund identifies, selects, and makes investments on the investor's behalf. For the fund's services, the investor is charged a management fee, plus a performance fee if the fund manager delivers superior results versus a hurdle rate or benchmark. In Exhibit 1, the investor invests in the "alternative investments fund." The fund itself invests in three

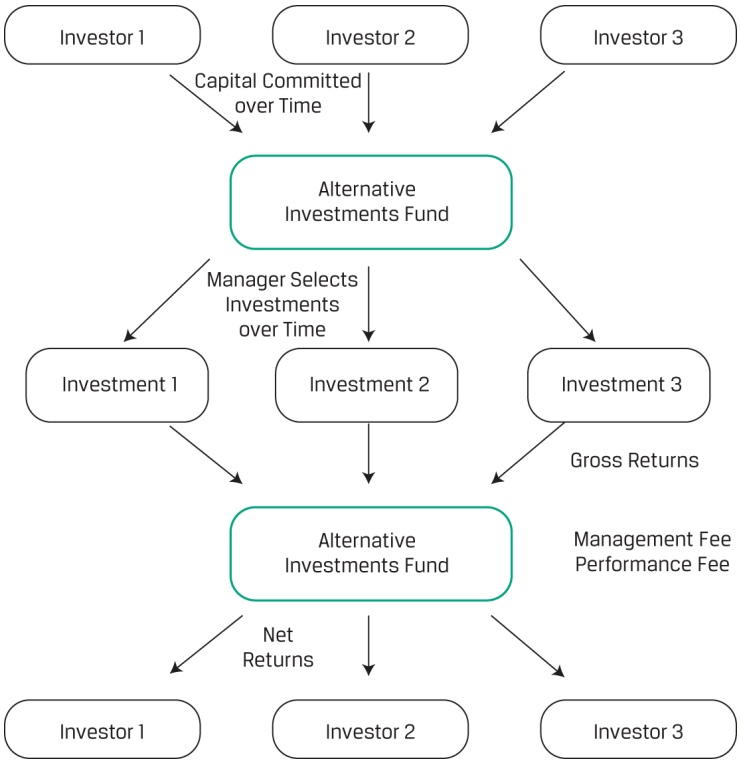
limited to either investing in the fund or not. Fund investors typically have neither the sophistication nor the experience to invest directly on their own. Furthermore, fund investors are typically unable to affect the fund's underlying investments. Note that fund investing is available for all major alternative investment types, including hedge funds, private capital, real estate, infrastructure, and natural resources.

Allocation to alternative assets requires distinct specialized skills that many investors likely do not possess. These investors can achieve this exposure through fund investing, where one or more investors contribute capital to an investment management company that identifies, selects, manages, and monitors investments on the investors' behalf, as shown in Exhibit 2.



### Exhibit 2:

### Alternative Investment Fund Structure

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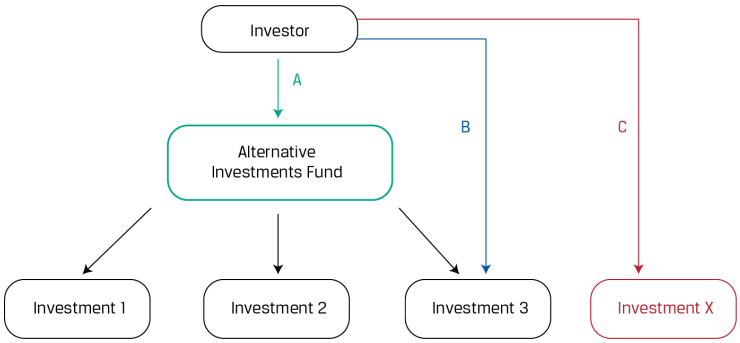
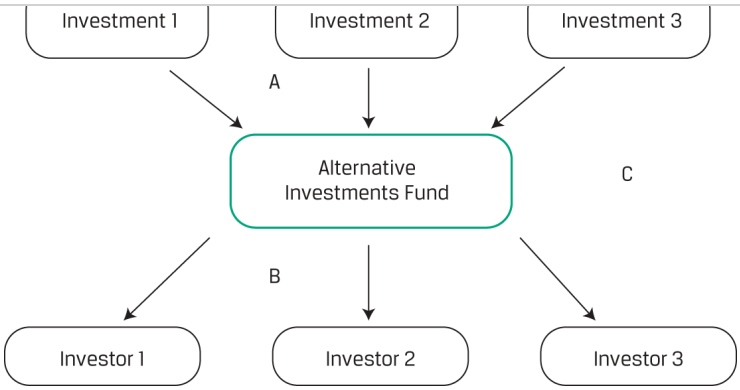
### A. Investments



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Fund investment structures for alternative investments differ substantially from traditional public equity and fixed-income fund or ETF investments. For example, alternative funds usually involve (1) the pre-commitment of funds prior to investment selection and an extended period during which the fund may not be sold, (2) higher management fees with more complex fee structures, and (3) less frequent transparency on periodic returns and fund positions versus equity or fixed-income funds. Investors in alternative funds therefore usually compensate managers using a performance-based, as opposed to flat, fee structure to better align manager and investor incentives over longer periods. Important terms are provided in a term sheet; a sample term sheet for fund investment with Tenderledge Investments LLC is provided in Exhibit 3. Further details of these terms are discussed in subsequent lessons.

### Exhibit 3:

### Tenderledge Investment Fund VIII Limited Partner Agreement Term Sheet

| **Tenderledge Investment Fund VIII, L.P.**<br>**Term Sheet** | |
|---|---|
| **Fund** | Tenderledge Investment Fund VIII, L.P |
| **General Partner** | Tenderledge Investment LLC |
| **Fund Manager** | Tenderledge Investments |
| **Maximum Size** | Not to exceed USD750 million |
| **General Partner's Commitment** | Equal to at least 2% of the aggregate Commitments of the Limited Partners |
| **Initial Closing Date** | The date the General Partner determines that aggregate Commitments equal or exceed USD500 million |
| **Final Closing Date** | Twelve (12) months from the Initial Closing Date |
| **Term of the Fund** | Ten (10) years from the Initial Closing Date |
| **Investment Policy** | To provide attractive, long-term investment return from a diversified portfolio of alternative investments |
| **ESG** | In accordance with the General Partner's environmental, social, and governance policy |
| **Management Fee** | 1.5% per annum of the commitment of each limited partner |
| **Hurdle Rate** | A hard hurdle rate of 10% |
| **Performance Fee** | 20% of fund returns in excess of the specified hard hurdle rate |
| **Side Letters** | If any Side Letter grants more favorable rights to any Partner than those provided to other Partners, the more favorable rights will be granted to all other Partners |

## Co-Investment

Once investors have some experience investing in funds, prior to investing directly themselves, many investors gain direct investing experience via **co-investing**, where the

investor is not limited to participating in the deal solely by investing in the fund. Exhibit 1 illustrates the co-investing method: The investor invests in one deal (labeled "Investment 3") indirectly via fund investing while investing an additional amount directly via a co-investment. Co-investing allows investors to expand their investment knowledge, skills, and experience beyond what they would gain from taking a fund-only investment approach. Co-investing also provides investors access to an investment opportunity at a lower fee than they would owe as fund-only investors in the same asset. Co-investors can learn from the fund's process to eventually pursue direct investments themselves. Co-investors weigh the benefits of greater control and lower fees versus higher oversight costs.

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Managers benefit from choosing one or more co-investors to

- accelerate investment timing when available funds and expected inflows are insufficient for a specific deal,
- expand the scope of available new investments, and
- increase diversification of an existing pool of fund investments.

EXAMPLE 5

### Co-Investment Opportunity

Moreton Bay Pension Plan is an investor in Tenderledge LLC Alternatives Fund. Tenderledge has identified a take-private transaction in Fancy Roofing Co. that requires a USD1.5 billion capital investment. However, the fund concentration limit allows Tenderledge to invest only up to USD1 billion in any one investment. Tenderledge offers the additional USD0.5 billion to Moreton Bay Pension Plan and other investors in the fund as a co-investment on a reduced fee and no carry basis. In this case, the co-investment allows Tenderledge the ability to secure the investment without needing to bring an additional fund manager into the transaction, and the co-investors gain additional exposure to Fancy Roofing Company at a reduced management fee and zero performance fees.

## Direct Investment

The largest, most sophisticated investors with sufficient skills and knowledge to manage individual alternative investments often do so via **direct investing** *without* the use of an intermediary, as previously shown in Exhibit 1 (labeled "Investment A").

Direct investors retain maximum flexibility and control when it comes to investment choice, methods of financing, and timing. In the case of private equity, this involves the purchase of a direct stake in a private company without the use of a fund managed by an external asset manager or general partner. It also requires the direct investor to have the resources to provide the specialized knowledge, skills, and oversight capabilities that direct investment requires. Although the direct investment approach usually applies to private capital and real estate, some very large investors, such as pensions and sovereign wealth funds, also invest directly in infrastructure and natural resources.

EXAMPLE 6

### Direct Investment in Renewable Energy

Singapore sovereign wealth fund GIC announced in 2021 that it will directly invest USD240 million in a Singapore-based energy firm, Arctic Green Energy, becoming an equity partner in the firm. The investment will help Arctic Green Energy expand its global operations and increase its capability in geothermal energy. Geothermal

clean heat. GIC has noted that investing sustainably is one of its core long-term investment mandates.

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## Question Set

**1.** Referring to the diagram below, identify the label that best corresponds to the three methods of investing in alternative assets:

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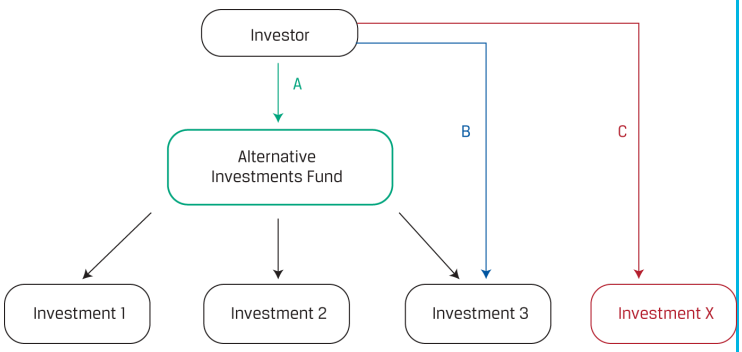


A. 1. Co-investing
B. 2. Fund investing
C. 3. Direct investing

Hide Solution

**Solution (as seen in Exhibit 1 of this lesson):**

A. 2 is correct. In fund investing, the investor contributes capital to a fund and the fund identifies, selects, and makes investments on the investor's behalf.

B. 1 is correct. In co-investing, the investor invests in assets indirectly through the fund but also possesses rights (known as co-investment rights) to invest directly in the same assets.

C. 3 is correct. In direct investing, an investor makes a direct investment in an asset (labeled "Investment X" in the diagram) without the use of an intermediary.

**2.** Determine the correct answers to fill in the blanks:The _____ and _____ nature of many alternative investments and the _____ required to evaluate and oversee these investments make investors more dependent on manager decisions over longer time periods.

Hide Solution

**Solution:**

The *long-term*and *illiquid* nature of many alternative investments and the *specialized knowledge* required to evaluate and oversee these investments make investors more dependent on manager decisions over longer time periods.

**3.** Identify two reasons investment managers offer co-investment opportunities to investors. Managers might choose to add co-investors for such reasons as:

1.

Managers might choose to add co-investors for such reasons as:

- accelerating investment timing when available funds and expected inflows are insufficient for a specific deal.
- expanding the scope of available new investments.
- increasing diversification of an existing pool of fund investments.

**4.** Identify one reason an investor would elect to participate in each of the following alternative investment methods:

**1.** Fund investing
**2.** Co-investing
**3.** Direct investing

Hide Solution

**Solution:**

| | |
|---|---|
| 1. Fund investing | Fund investing gives investors with limited resources or experience an entrance into alternative investing. |
| 2. Co-investing | Investors who have better specific skills and greater ability to allocate investments to individual assets may select a more active investment approach while retaining manager involvement. This results in lower fees for the investor than for a purely fund-based approach. Also, co-investors select and manage an investment jointly with a general fund manager, which potentially gives them greater control and higher returns than they could earn in a fund-only structure. |
| 3. Direct investing | Direct investing offers investors flexibility and control when it comes to choosing their investments, selecting their preferred methods of financing, and planning their approach. |

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IM so in co investing is it compulsary to invest in the fund too?

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